

BEAVER COAL COMPANY, LIMITED

919 Conestoga Road
Building 3, Suite 214
Rosemont, PA 19010

Ownership of a limited partnership unit of Beaver Coal Company, Limited is subject to restrictions contained in its limited partnership agreement, which each limited partner is required to accept and adopt as a condition to becoming a limited partner. Any transfer of a limited partnership unit requires consent of the general partner in its sole discretion. A copy of the limited partnership agreement and a specimen limited partnership certificate are included herein and in the OTC Markets Company Profile for Beaver Coal Company, Limited.

BEAVER COAL COMPANY, LIMITED

LIMITED PARTNERSHIP AGREEMENT

AGREEMENT, dated as of October 31, 2009, among BEAVER MANAGEMENT CORPORATION, a Pennsylvania corporation (hereinafter called the "General Partner"), and the persons whose names appear on *Schedule A* hereto, together with all those persons to whom any share of the interest of a Limited Partner shall be assigned and who shall execute and deliver to the General Partner a written acceptance and adoption of this agreement and other instruments, all as provided in Section 7 hereof, and shall thereby become Substituted Limited Partners in the Partnership (hereinafter called the "Limited Partners").

SECTION 1. *Formation of Partnership.* The parties hereto do hereby form a Limited Partnership (hereinafter called the "Partnership") pursuant to the provisions of 15 Pa.C.S. § 8501, et. seq. (the "Pennsylvania Revised Uniform Limited Partnership Act"), upon the terms hereinafter provided.

SECTION 2. *Name, Purpose, and Principal Office.* The business of the partnership shall be conducted under the name and style of "Beaver Coal Company, Limited".

The purpose of the Partnership is to acquire certain of the coal lands, and other properties and assets, in the State of West Virginia and elsewhere, presently owned by a Pennsylvania limited partnership of like name existing under an Agreement of Limited Partnership dated as of October 31, 1988 (the "Prior Partnership") (the Prior Partnership having on the date hereof the same General Partners and the same Limited Partners as the Partnership) and to hold, sell, lease, and/or operate the same as well as any additional properties or assets hereafter acquired by the Partnership. The Partnership is formed by the General Partner on behalf of itself, as the General Partner of the Prior Partnership, and on behalf of the Limited Partners thereof, for the purpose of continuing the business of the prior Partnership pursuant to a right to do so expressly granted in Section 12 of the Agreement of Limited Partnership of the Prior Partnership in connection with the expiration of the term of existence of the Prior Partnership on the date hereof, and the Partnership has on this date acquired from the Prior Partnership all of the assets of the Prior Partnership, subject to all of the liabilities of the Prior Partnership, as contributions to the capital of the Partnership by the general and limited partners hereof in proportion to their respective interests in the Prior Partnership.

The principal office and place of business of the Partnership shall be at [Public Ledger Building, Philadelphia, Pennsylvania,] or at such other place as the General Partner may from time to time determine, on notice to the Limited Partners.

SECTION 3. *Term of Partnership.* The term of the Partnership shall be from the date hereof until October 31, 2030, provided, however, that it shall be terminated and dissolved prior to said date:

- (a) upon the sale or other disposition of all or substantially all its property and assets; or
- (b) upon the insolvency, bankruptcy, or liquidation of the General Partner; or
- (c) if and when the General Partner shall at any time elect that it should be so terminated and dissolved, and notice to that effect shall be given to all the Limited Partners; or
- (d) if and when Limited Partners holding 75% of the Partnership Shares (as defined in Section 6 hereof) shall at any time so elect, and notice to that effect shall be given to the General Partner and the other Limited Partners.

SECTION 4. *Books, Records, and Audits.* The General Partner shall keep or cause to be kept, at the principal office of the Partnership, full and true books of account for the Partnership, which shall be open to reasonable inspection and examination by any of the Limited Partners or their duly authorized representatives.

The accounting period of the Partnership shall be the calendar year or such fiscal year as the General Partner shall determine.

The Partnership books shall be audited annually by a certified public accountant selected by the General Partner.

The net profits or losses of the Partnership for each year shall be determined in accordance with approved and accepted accounting principles and practices consistently applied, as soon as possible after the close of each such year, and a report thereon shall be furnished to each Limited Partner, together with a statement indicating his share in the profits or losses for such year, and such additional information as he may reasonably require for use in connection with his own Federal income tax return.

SECTION 5. *The General Partner.* By virtue of the transfer to the Partnership on this date by the Prior Partnership to its assets, subject to its liabilities, the General Partner has contributed to the capital of the Partnership its interest therein as General Partner of the Prior Partnership. No part of this contribution shall be withdrawn except upon the termination and liquidation of the Partnership or as specifically provided herein.

The sole and exclusive right and power to manage the entire business and affairs of the Partnership is vested in the General Partner.

By way of extension of the foregoing, and not in limitation thereof, the General Partner shall have the power, at any time and from time to time, in its absolute discretion and in each case upon such terms as it may determine to be in the interest of the Partnership,

- (a) to acquire for the Partnership, by purchase, lease, or otherwise, any coal or surface lands or other property or assets of any kind, in the State of West Virginia or elsewhere; and to take title thereto in the name of the Partnership or in the name of any

person, corporation, or other entity, as nominee, to hold for the account of the partnership;

(b) to sell, assign, and convey, and to grant options for the sale of, all or any portion of the property and assets of the Partnership; *provided*, however, that the General Partner shall not be authorized to sell all or substantially all of the property and assets of the Partnership without the written approval of Limited Partners holding a majority of the Partnership Shares;

(c) to lease or sub-lease all or any portion of said property, without limit as to the term thereof, and whether or not such term shall extend beyond the date herein fixed for the termination and dissolution of the Partnership;

(d) to borrow money, and as security therefore to mortgage or pledge all or any part of the property and assets of the Partnership;

(e) to employ, from time to time, such persons, firms, or corporations for the operation and management of the business of the Partnership, including, without limitation, such executives, engineers, accountants, attorneys, and other agents or representatives as it may deem desirable (all or any of whom may at the same time be directors, officers, or employees of the General Partner), on such terms, with such powers, and for such compensation as it may determine; *provided*, however, that all compensation paid to such persons who are also Directors or Officers of the General Partner shall be paid by the General Partner, and not by the Partnership;

(f) to execute, acknowledge, and deliver any and all instruments to effectuate the foregoing, and to cancel, modify, amend, add to, or terminate the same or any thereof;

(g) to deposit the funds of the Partnership in accounts in such banks or other financial institutions as it may determine, and to designate the person or persons authorized to draw checks against such accounts; and

(h) in general, to possess and exercise all of the powers and rights of a partner in a partnership without limited partners under the partnership law of the Commonwealth of Pennsylvania.

The President or any Vice President or the Treasurer or the Secretary of the General Partner shall be authorized to execute and deliver any documents and agreements on behalf of the Partnership.

The General Partner shall not be liable, responsible, or accountable, in damages or otherwise, to the Partnership or to any of the Limited Partners for any action in good faith taken or omitted to be taken by it on its behalf in furtherance of the interest of the Partnership; and the Partnership shall indemnify and save harmless the General partner from any liability incurred by it by reason of all such acts or omissions.

The General Partner shall always be fully protected in acting in reliance on an opinion of counsel or advice of accountants retained or employed by the Partnership.

If at any time Limited Partners holding 75% of the Partnership Shares shall give notice to the General Partner that they desire to admit one or more designated additional general partners to the Partnership, in lieu of and in substitution for the General Partner, the General Partner shall join with the Limited Partners in all action required to accomplish such admission and substitution, and when the same has been accomplished the General Partner shall forthwith withdraw and retire from the Partnership. Upon such withdrawal and retirement all amounts due to the General Partner under Section 9 hereof and then unpaid, together with so much of its capital contribution as shall not theretofore have been returned to it, shall forthwith be paid over to it by the Partnership.

The interest of the General Partner in the Partnership is not assignable.

SECTION 6. *Limited Partners.* The contribution by each of the Limited Partners to the capital of the Partnership has been made by assignment, transfer, and conveyance to the Partnership on this date by the Prior Partnership of all the property and assets of the Prior Partnership, subject to all of the liabilities thereof, which such transfer has constituted a contribution by each of them to the Partnership of their respective interests in such assets, subject to such liabilities, as limited partners of the Prior Partnership. All such property and assets shall for this purpose be valued in the manner last valued by the Prior Partnership, and the initial books of account and capital accounts of the Partnership shall be the last such books of account and capital accounts of the Prior Partnership.

The aggregate interest of all Limited Partners herein, and in the capital contributed hereto by the Limited Partners as aforesaid, shall be divided into 24,878 equal shares (herein referred to as "Partnership Shares"), each such Limited Partner owning such number of Partnership Shares as are set forth opposite his, her or its name on *Schedule A* hereto.

No Limited Partner has agreed to make any additional contribution to the capital of the Partnership.

No Limited Partner shall have the right to withdraw his capital contribution except upon the termination and liquidation of the Partnership or as specifically otherwise provided herein. No Limited Partner shall have the right to demand or receive property other than cash in return for his contribution.

No Limited Partner shall have priority over any other Limited Partner either as to contributions to capital or as to compensation by way of income.

No Limited Partner shall take any part in the conduct or control of the business of the Partnership, or have the right to act for or bind the Partnership in any manner.

SECTION 7. *Assignment of Interest of Limited Partners; Certificates of Interest to Be Issued.* Any one or more of the Partnership Shares (not including, however, fractions of a share) may be assigned by the Limited Partners, at any time and from time to time, by written assignment in form and substance approved by the General Partner, but only (a) with the consent of the General Partner, which consent may in each case be given or withheld in its absolute

discretion, and (b) upon execution and delivery by the assignee of a written acceptance and adoption of this Agreement, as the same may have been amended, together with such other instruments, if any, in connection therewith as the General Partner may require. Upon such consent and execution, but not otherwise, the assignee shall, with respect to the share or shares assigned, be admitted to the Partnership and become a Substituted Limited Partner therein; *provided*, however, that the power of attorney theretofore given by the assignor Limited Partner pursuant to Section 10 hereof shall survive the delivery of such assignment, for the purpose of enabling the General Partner to execute, acknowledge, file, and record all instruments necessary to effectuate such substitution.

Each Limited Partner and assignee thereof who shall become a Substituted Limited Partner in the Partnership shall be entitled to receive a Certificate of Interest therein, signed by the General Partner, in such form as it shall approve. Certificates of Interest of the Prior Partnership issued and outstanding on the date hereof shall be deemed to have been issued by the Partnership and represent the number of Partnership Shares of the Partnership as are set forth thereon.

SECTION 8. *Death of a Limited Partner.* The death of a Limited Partner shall not terminate or dissolve the Partnership, but his executor or administrator shall have all the rights of a Limited Partner for the purpose of settling his estate, except that in no event may he become a Substituted Limited Partner in the Partnership and that he may not, without the consent of the General Partner and subject to all the provisions of Section 7 hereof, assign the Partnership Shares of such deceased Limited Partner or constitute the assignee a Substituted Limited Partner.

SECTION 9. *Distribution of Profits and Other Payments.* Until the termination and dissolution of the Partnership, its net profits for each year remaining after payment of all expenses, and after deducting and setting aside such amounts as the General Partner shall consider desirable to provide for all actual or contingent liabilities, and as a reserve for working capital needs and for any other business purpose or contingency, shall be distributed as follows:

(a) there shall be paid and distributed to the General Partner, as compensation for services performed by it hereunder, such reasonable amount as it may from time to time determine;

(b) the General Partner may in its discretion, at any time and from time to time during such year, pay and distribute to and among the several Limited Partners and the General Partner (in proportion to the amounts standing to the credit of their respective capital contribution accounts on the books of the Partnership at the time of such payment) such amount, not in excess of the net profits estimated by it to have been earned prior to such distribution and then undistributed, as it shall determine; and

(c) the balance of such net profits remaining undistributed at the end of such year shall be paid and distributed to and among the several Limited Partners and the General Partner in proportion to the amounts standing to the credit of their respective capital contribution accounts on the books of the Partnership at the end of such year.

The General Partner may also, in its discretion, at any time and from time to time, make any additional distribution or distributions in cash to and among the several Limited Partners and the General Partner in such amount as the General Partner may determine, all such distributions to constitute a return of capital and to be divided among all such Partners in proportion to the amounts then standing to the credit of their respective capital contribution accounts on the books of the Partnership.

SECTION 10. *Power of Attorney.* In the case of each assignment of Partnership Shares by a Limited Partner under Section 7 hereof, it is agreed that the execution and delivery by the assignee of his written acceptance and adoption of this Agreement as required by said Section shall thereby irrevocably constitute and appoint the General Partner as the true and lawful attorney of such assignee, in his name and stead and on his behalf, to sign, swear to, acknowledge, file, and record:

(a) certificates of Amendment to the Certificate of Formation of Limited Partnership theretofore filed as required by the Uniform Limited Partnership Act upon the formation of the Partnership, from time to time, upon the occurrence of any event requiring the amendment of said Certificate of Formation; and to include therein all information required by said Act;

(b) at any time and from time to time, any and all other documents required by law to be signed, sworn to, acknowledged, filed, or recorded by the Limited Partners or by the Partnership under any law of the Commonwealth of Pennsylvania or elsewhere, whenever in the opinion of counsel for the Partnership such action is necessary or desirable in order to enable the Partnership to carry on its business as herein contemplated; and

(c) upon the dissolution or termination of the Partnership, any certificates and other instruments which may be required to effectuate the same and/or the cancellation of the Certificate of Formation of Limited Partnership.

It is agreed by each such assignee that the foregoing power of attorney is coupled with an interest.

SECTION 11. *Liquidation.* Upon the termination and dissolution of the Partnership in accordance with the provisions of Section 3 hereof, unless a new partnership shall be formed under Section 12 hereof, the Partnership shall be liquidated, and all its assets shall be sold or otherwise reduced to cash, at such time or times and in such manner as the General Partner shall determine. The cash proceeds of such sale, together with all other cash held by the Partnership and any other proceeds of such liquidation, shall be applied and distributed as follows, in the following order of priority:

First, to pay or make provision for the payment of all liabilities and obligations of the Partnership, actual or contingent, and all expenses of liquidation; and any amounts deemed necessary by the General Partner to provide a reserve for any unforeseen liabilities and obligations may in its discretion be deposited in any bank or trust company and upon such terms as the General Partner may determine;

Second, to the payment to the several Partners of any amounts then distributable to them under Section 9 hereof out of the net profits of the Partnership, and then remaining unpaid;

Third, to the repayment to the several Limited Partners of all amounts then standing to the credit of their respective capital contribution accounts on books of the Partnership;

Fourth, to the repayment to the General Partner of all amounts then standing to the credit of its capital contribution account on such books; and

Fifth, any remaining balance to be divided among the Limited Partners and the General Partner in proportion to the respective contributions to the capital of the Partnership made upon formation of the Partnership by or for the account of the initial Limited Partner and the General Partner, the amounts so distributable to the Limited Partners to be divided among them in proportion to the Partnership Shares respectively held by them.

The aforesaid payment and distribution shall constitute final payment to the Partners in full satisfaction of all their interest in the Partnership and their capital contributions thereto and all claims of any kind against it.

In lieu of such sale, however, the General Partner, if it determines that it would be in the interest of the Limited Partners so to do, may distribute all or any part of the assets in kind, the assets so distributed to be taken, for the purpose of allocation between the Limited Partners and the General Partner, at such value as the General Partner shall determine to be fair and equitable.

SECTION 12. *Formation of New Partnership.* Upon the termination and dissolution of the Partnership by expiration of the term for which it is created, as provided in Section 3 hereof, the General partner, in lieu of the liquidation of the Partnership under Section 11 hereof, may cause to be formed a new limited partnership, on the terms below provided in this Section 12, to engage in the same business as this Partnership and employing the name and assets of this Partnership.

Such new partnership (herein called the "New Partnership") shall be a limited partnership formed under the Limited Partnership Laws of the Commonwealth of Pennsylvania or such other state as shall be selected by the General Partner. The General Partner in this Partnership shall be the sole general partner in the New Partnership, and all the Limited Partners in this Partnership shall be the limited partners therein, with the same shares of interest therein as theretofore held by them herein.

The General Partner shall give written notice of such determination to the then Limited Partners in this Partnership and shall thereupon

(a) execute, for itself and as attorney for all the Limited Partners, a new partnership agreement, creating the New Partnership, which agreement shall be substantially in the form of this Partnership Agreement as then in effect, except that the

term of the New Partnership shall be such date, not later than October 31, 2051, as the General Partner shall determine;

(b) execute and acknowledge, in the name of itself and the limited partners in the New Partnership, a Certificate of Formation of Limited Partnership, which shall contain such provisions as shall be required by law, consistent with the provisions of the New Partnership Agreement;

(c) do or cause to be done all such things as shall be necessary or advisable for the formation of the New Partnership as a limited partnership; and

(d) transfer and convey all the property and assets of this Partnership to the New Partnership, subject to all its outstanding liabilities.

Each of the Limited Partners does hereby irrevocably constitute and appoint the General Partner his true and lawful attorney, in his name, place and stead to execute and acknowledge any and all instruments contemplated by the foregoing provisions of this Section 12, and, by way of extension and not in limitation, to do all such things as shall be necessary or advisable in connection with the formation of the new partnership. It is agreed by each of the Limited Partners that the foregoing power of attorney is coupled with an interest.

SECTION 13. *Amendment of Agreement.* This Agreement may be amended at any time and from time to time, upon 30 days' written notice given to each Limited Partner, but only with the written consent of the General Partner and of Limited Partners holding 75% of the Partnership Shares first had and obtained.

Upon the effective date of any such amendment those of the Limited Partners who shall not have consented thereto shall have the right to receive from the Partnership, upon written request therefore, a payment in cash in an amount equal to the estimated fair value of their respective Partnership Shares as of such effective date, as determined by an appraiser or appraisers selected by the General Partner; and upon such payment they shall cease to be Limited Partners in the Partnership and shall have no further rights in or claims against the Partnership or with respect to its property or assets.

SECTION 14. *Notices.* Any notice given to any Partner pursuant to this Agreement shall be in writing and shall be deemed to have been duly given if deposited in the United States mail, postage prepaid, addressed to such Partner at such address as shall have been filed by him with the Partnership at its principal place of business.

SECTION 15. *Law to Govern.* This Agreement and the rights of the parties hereunder shall be interpreted and determined in accordance with the laws of the Commonwealth of Pennsylvania.

SECTION 16. *Headings.* The headings preceding the text of the several sections hereof are inserted solely for convenience of reference and shall not constitute a part of this Agreement nor shall they affect its meaning, construction, or effect.

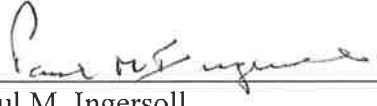
SECTION 17. *Execution in Counterparts.* This Agreement may be executed in several counterparts, all of which taken together shall be deemed one original document, notwithstanding that all the parties are not signatory to the same counterpart.

SECTION 18. *Succession.* This Agreement shall be binding upon and inure to the benefit of the parties hereto, and each of their heirs, executors, administrators, successors, and assigns, subject, however, to all the provisions herein contained.

IN WITNESS WHEREOF, this Agreement has been executed by each of the parties hereto, dated for identification as of the day and year first above written.

General Partner:

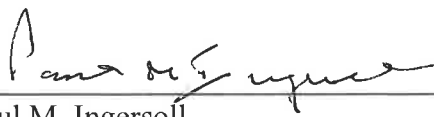
BEAVER MANAGEMENT CORPORATION

By: 
Paul M. Ingersoll
President

Attest: 
David Wilmerding, Jr.
Secretary

Limited Partners:

BEAVER MANAGEMENT CORPORATION, as Attorney-in-Fact for each of the persons and firms listed on Schedule A hereto, as Limited Partners hereof, pursuant to a power of attorney granted by Section 12 of the Agreement of Limited Partnership of Beaver Coal Company, Limited, dated as of October 31, 1988

By: 
Paul M. Ingersoll
President

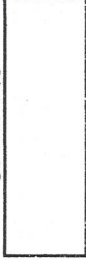
Attest: 
David Wilmerding, Jr.
Secretary

CERTIFICATE NO.



SPECIMEN

SHARES



~~CUSIP 074777 10 7~~

BEAVER COAL COMPANY, LIMITED

CERTIFICATE OF INTEREST OF LIMITED PARTNER

This is to certify that _____

is a

Substituted Limited Partner, with an interest of _____ shares, in Beaver Coal Company, Limited, a limited partnership formed under The Uniform Limited Partnership Act, by a certain Limited Partnership Agreement, dated as of October 31, 2009, between Beaver Management Corporation, a Pennsylvania Corporation, General Partner, and the Limited Partners party thereto. A copy of said Agreement is on file and available for inspection at the principal office of the Partnership.

DATED: _____

BEAVER MANAGEMENT CORPORATION
General Partner

BY: _____
AUTHORIZED OFFICER

ASSIGNMENT

The undersigned Assignor hereby sells and assigns to the Assignee named below the number of shares of limited partnership interest in the Limited Partnership of Beaver Coal Company, Limited, specified below, together with the right to all accrued and unpaid payments and distributions due thereunder in respect of said shares.

And said Assignee does in all respects accept and adopt the Partnership Agreement referred to on the face of this Certificate, does irrevocably constitute and appoint Beaver Management Corporation, the General Partner in said Partnership, as the true and lawful attorney of the undersigned, for the purposes and with the powers set forth in Sections 10 and 12 of said Partnership Agreement, and does hereby, subject to the consent of said General Partner, become a Substituted Limited Partner in said Partnership with respect to the interest represented by the number of shares so assigned.

Number of Shares Assigned _____

Signature of
Assignor _____

Date of Assignment _____

Name of
Assignee _____
PRINT FULL NAME

Signature of
Assignee _____

PRINT ADDRESS

PLEASE INSERT SOCIAL SECURITY OR OTHER
IDENTIFYING NUMBER OF ASSIGNEE

(DATE)

The General Partner hereby consents to this Assignment.

BEAVER MANAGEMENT CORPORATION

By: _____
AUTHORIZED OFFICER

INSTRUCTIONS FOR COMPLETION OF ASSIGNMENT

"Assignor" means the present record owner, whose name or names must be signed exactly as they appear on the face of this Certificate. "Assignee" means the person who will become the new owner, whose name should be printed and signed exactly as it is to appear in the partnership records.

The signature of the Assignor must be guaranteed by a bank or trust company satisfactory to the General Partner.

After this Assignment is fully completed and signed by both Assignor and Assignee, it must be forwarded to Beaver Coal Company, Limited.

Under the provisions of the Partnership Agreement, this Assignment is not effective unless and until the General Partner consents thereto. If and when such consent is given, a new Certificate of Interest, similar hereto, will be issued to the Assignee.

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